

DECLARATION OF PROTECTIVE COVENANTS, CONDITIONS AND RESTRICTIONS1. RECITALS

a. The Telluride Company, a Colorado Corporation, is the owner of certain real property generally located in the West Addition to The Town of Telluride, Colorado, commonly referred to as Backman Village, which location is specifically set forth and described in the Plat to which these Protective Covenants are attached, said Plat being hereby incorporated herein, and made a part hereof. The Telluride Company desires to place these restrictions and protections on the use of the lots, tracts, and other real property which are contained within the attached Plat and Subdivision which, subsequent to approval and acceptance of the required boards and commissions of The Town of Telluride, shall be recorded in the real property records of the County Clerk and Recorder, San Miguel County, Colorado, as the Backman Village Subdivision Replat (the "Plat"), for the protection and mutual benefit of The Telluride Company, Simonius, Vischer & Co., and the Town of Telluride, their successors and assigns.

b. The purposes of these Protective Covenants are to insure the orderly development and growth of this land within the municipal limits of The Town of Telluride, to incorporate such land within the Town, and to integrate such land with respect to the nearby ski runs and other ski facilities provided by The Telluride Company. These Protective Covenants shall enhance, protect, establish and maintain the character, value, desirability, and attractiveness of the real property depicted on the attached Plat and insure its development as part of the base area of The Telluride Company ski facilities all for the benefit of The Telluride Company, The Town of Telluride, Town residents, skiers, vacationers, residents and other transient guests.

c. The Telluride Company does hereby impose, charge, establish, publish, warrant, acknowledge, declare and agree with, to and for the benefit of all persons who may hereafter purchase or lease any of the lots, tracts, or other parcels of land depicted on the Plat with the following restrictions, covenants, and conditions all of which shall be deemed to run with the land and to inure to the benefit of and be binding upon The Telluride Company, The Town of Telluride, and all parties now holding or hereafter acquiring any right, title or interest of any such land depicted on the Plat, except in Covenants specifically stating otherwise, and except that the Covenant contained in paragraph number sixteen (16), which Covenant refers to the time allowed for construction of

improvements built within any lot, and approval of plans for such improvements, shall be enforceable by The Telluride Company only, and The Town of Telluride shall not possess the capacity, right or benefit to enforce said Covenant.

The Covenants set forth herein are made for the mutual and reciprocal benefit of each and every lot in the Subdivision, as shown on the Plat, and are intended to create mutual, equitable servitudes upon each of said lots in favor of each and all of the other lots; to create reciprocal rights between the respective owners of all said lots to create a priority of contract and estate between the grantees of said lots, their heirs, successors and assigns, and shall, as to the owner of each such lot, his heirs, successors and assigns, operate as Covenants running with the land for the benefit of each and all lots in the Subdivision and their respective owners.

2. Definitions, densities, standards, and uses set forth on the face of Page 1 of the Plat entitled "Backman Village Replat", as recorded and filed by the County Clerk of San Miguel County, Colorado, in Plat Book , Page , are incorporated herein and made part of these Protective Covenants.

3. Lots numbered 1 through 33 on the attached Plat may be improved and used for single family residential purposes only and shall in each instance fall within the definition of single family residence which is set forth on the face of sheet 1 of the Plat.

4. Tract J on the Plat shall be reserved for specific public use which shall be defined as any use which is within the present zoning ordinances of The Town of Telluride applicable to such lot. Such use is to be defined and determined by The Telluride Company. This tract shall not be sold, but shall remain as a public use.

5. No lot contained within this Plat shall be further subdivided nor replatted except in accordance with all applicable laws.

6. Each lot numbered 1 through 33 on the Plat shall be subject to front and rear setbacks. Such setbacks shall be along a building line running N 44° 17' W and such building line shall be a minimum of 15' from any point on the North boundary and 15' from any point on the South boundary.

7. Lots shall be subject to the specified side setbacks.
 - a. Lots 1-9 inclusive 5 feet from the East boundary.
 - b. Lots 10-19 inclusive 5 feet from the West boundary.
 - c. Lots 20-28 inclusive 5 feet from the East boundary.
 - d. Lots 29-33 inclusive 5 feet from the West boundary.

8. The improvements on the following specified lots shall front as follows:
 - a. Lots 1-9 inclusive shall contain dual fronting facades facing to the North and the South.
 - b. Lots 29-33 inclusive shall contain dual fronting facades facing to the North and the South.
 - c. Lots 10-19 inclusive shall contain facades fronting to the North.
 - d. Lots 20-28 inclusive shall contain facades fronting to the South.
 - e. Lots 37 and 38 shall contain facades fronting to the North.
 - f. Lots 41-44 inclusive shall contain facades fronting towards Alta Circle.
 - g. Lots 45 and 46 shall contain facades fronting to West Pacific Avenue.
 - h. The alley being designated on the Plat between West Prospect Avenue and West Smuggler Avenue shall have a 5 foot setback for structures and fence improvements.

9. The improvements which may be built on lots 1-33 shall be single family residential structures, Victorian in style and nature. Facades must be constructed of horizontal wood siding, stonework, or brick. Board siding must be painted. The main roof area on any such structure must be pitched substantially to the East and West sides of the lot.
 - a. On lots 1-33 the improvement may contain bay windows or balconies, such bay windows or balconies to be no more than six (6) feet in width and four (4) feet in depth, which may extend beyond the setback requirements set forth herein on any North-South frontage.
 - b. Upon construction of any improvement upon the lots set forth in this paragraph, it shall be the obligation of each owner to landscape the improved lot within six (6) months of completion of said improvement by placing and growing thereon bluegrass sod or comparable grass as approved by The Telluride Company as ground cover, along with a minimum of one evergreen or spruce tree on the North portion of such lot as well as a minimum of two aspen trees on the South portion of any such lot, such trees to be a minimum of four (4) feet in height.

10. It shall be the responsibility of the owners improving any lot within the Plat to bury all utilities on the site, including but not limited to water and sewer, electrical, telephone, and cable television, except where such utilities may cross the San Miguel River or Coronet Creek. No externally visible antennae; including television, radio or master antennae, shall be erected, placed or maintained on any lot or improvement in the Backman Village.

11. All interests, real property, and the various lots herein shall be subject to the easements and rights of way, pedestrian, vehicular, lighting, electricity, gas, telephone, water, sewage, and any other kind of public or quasi-public utilities reserved as shown on the Plat or which may occur from time to time. No fence, wall, hedge, barrier, or other structures shall be erected or maintained along, on, across, or within the area reserved for easements and rights of way without prior written approval of The Town of Telluride and of The Telluride Company.

a. Lots 2, 11, and 20 shall be burdened and subject to an easement for the routing and channeling of Butcher Creek and other water which shall run generally adjacent to the Eastern boundary of such lots; and lots 3 and 12 shall be burdened and subject to an easement with channeling and re-routing of Butcher Creek and other water adjacent to the Western boundary of such lots, all as shown on the Plat. Lot 37 shall be burdened and subject to an easement for the channeling and re-routing of Butcher Creek and other water across the Northwest corner as defined on sheet 2 of the Plat. Owners of such lots shall do nothing to obstruct the free flow of the stream within the channel and from time to time as it shall be necessary to maintain such channel and routes, shall take such measures as may be necessary to guarantee and effect such continuous and uninterrupted flow.

12. Any improvement which is placed on any of the lots shall connect with The Town of Telluride water and sewer facilities to the nearest easement point as depicted on the utility plan which is attached hereto and made part of the Plat. The cost of extending such lines from within and from the boundaries of each lot to such easement point shall be at the cost of the owner of each lot except that The Telluride Company shall bear the cost of extension of such lines to lots owned or acquired by Simonius, Vischer & Co. as set forth in the Exchange Agreement between Simonius, Vischer & Co. and The Telluride Company. No private well shall be used as a source of water for human consumption or irrigation.

13. No garbage, clippings from trees, shrubs, or lawns, trash, ashes or other refuse may be thrown, dumped or allowed to accumulate on any lots or adjacent to any structures on any lots within the platted area. There shall be no burning of refuse out-of-doors. No incinerators or other device for burning of refuse indoors shall be constructed, installed or be used by any person except as may be approved by the building department of The Town of Telluride. Each owner of the respective lots shall provide a suitable receptacle for the collection of refuse and it shall be placed to the rear of any improvements thereon in conformance with the rules and regulations of The Town of Telluride. Any such receptacles shall be enclosed and screened from the public view and protected from disturbance.

14. Except for lots 34, 34B and 35, no trees existing within the platted area shall be truncated, cut (except for customary maintenance) or removed except with prior written approval of The Telluride Company.

15. No temporary structure, excavation, trailer, travel trailer, mobile home, camper, motor home, shack, tent or other living unit or units shall be erected, established, placed or otherwise maintained on any lot within the platted area except as authorized by The Telluride Company, and as permitted by ordinance, rule or regulation of The Town of Telluride. Temporary authorization for a temporary structure may be obtained by receiving permission therefor from The Town of Telluride and The Telluride Company and then only as may be necessary and authorized during the construction of improvements.

16. Construction of all structures and improvements within any lot of the Subdivision, except for lots 34, 34B and 35, shall be prosecuted diligently to completion within twelve (12) months after commencement and in strict conformity with any plans submitted to appropriate Town Boards. Permission to extend construction time beyond the permissible twelve (12) month construction period shall be obtained from The Telluride Company only and shall be given only as a matter of course when delays and completion of construction are caused by strikes, state of war, unavailability of materials, fire, storm, other acts of God, or similar events not within control of the owner. If there is a failure to so complete within such twelve (12) month period, upon demand of The Telluride Company the affected portion of real property shall be restored as nearly as practicable to the state and condition existing prior to the commencement of any work relating to any construction. Such restoration shall be the sole responsibility

and at the expense of the owner of such property.

17. No fence, wall or other barrier shall be built on any lot without the prior written consent of The Telluride Company and The Town of Telluride, except that the owners of lots 34, 34B and 35 shall only require the consent of The Town of Telluride.

18. All unsightly structures, facilities, equipment, objects and conditions, if permitted, shall be enclosed within an approved structure. Pipes for gas, sewer, drainage or other purposes, utility meters or other utility facilities, gas, oil, and water or other tanks, if permitted, shall be kept and maintained within an enclosed structure or below the surface of the ground or shielded from vision by appropriate landscaping.

19. All tracts, blocks, and lots including all improvements thereon shall be kept and maintained by the Grantee thereof in a clean, safe, secure, attractive, sound and sightly condition and in a good state of repair.

20. No hazardous, noxious or offensive activity shall be carried on upon any property within the Subdivision nor shall anything be done or placed on any property which is or may become a nuisance or cause danger, embarrassment, disturbance or annoyance to others.

21. EFFECT AND DURATION OF COVENANTS

These Protective Covenants may contain provisions which may be subject to the rule sometimes referred to as the Rule Against Perpetuities, which Rule prohibits unreasonable restraints on alienation. Each such provision shall continue and remain in full force and effect for the period of Twenty One (21) years following the death of the survivor of Ron Allred, and the now living children of said Ron Allred. All other provisions contained herein shall contain and remain in full force and effect until the year 2050., A.D.

22. There shall be no discrimination because of race, color, religion, sex or national origin, against any employee or applicant for employment, any person seeking permanent, temporary or transient lodging or any person desiring to use any of the services now or hereafter available within the area defined in the Plat.

23. The conditions, restrictions, stipulations, agreements and Covenants contained herein shall be waived, abandoned, terminated or amended only with the written consent of The Telluride Company and The Town of Telluride.

24. Invalidity or unenforceability of any provision of this instrument in whole or in part shall not affect the validity or enforceability of any other provision or any of the valid and enforceable parts of a provision of this instrument and all remaining Covenants, or parts thereof, shall continue unimpaired and in full force and effect. Failure to enforce any provisions of this instrument shall not operate as a waiver of any such provision or of any other provision of this instrument, and a specific waiver of any provision of the instrument for a particular Grantee shall not operate as a waiver or give rise to any right in any other Grantee to obtain a similar waiver. No failure on the part of a party having rights under these Covenants to invoke an available remedy with respect to a violation of any of these Covenants shall be held to be a waiver if that party (or an estoppel of that party) fails to assert any right available to him upon the recurrence or continuance of said violation or the occurrence of a different violation.

25. The Grantee of any lot subject to the coverage of this declaration, by acceptance of a deed conveying title thereto, or the execution of a contract for the purchase thereof, whether from The Telluride Company or a subsequent owner of such lot, shall accept such deed or contract upon and subject to each and all of these Covenants and the agreements contained herein and also the jurisdiction, rights and powers of The Telluride Company, and by such acceptance shall for himself, his heirs, personal representatives, successors and assigns, covenant, consent and agree to and with The Telluride Company, The Town of Telluride and to and with the Grantees and subsequent owners of each of the lots within the Subdivision to keep, comply with and perform said Covenants and agreements.

26. Each Grantee of a lot in the Subdivision also agrees, by such acceptance, to assume, as against The Telluride Company, its successors and/or assigns, all the risks and hazards of ownership or occupancy attendant to such lots, including but not limited to its proximity to roadways, common areas or parks, ponds, streams, or other amenities intended for common use. Failure of The Telluride Company to enforce or prosecute any of these Covenants and agreements, and any

result therefrom, shall constitute a cause of action against The Telluride Company.

27. Any party to whose benefit these Covenants inure, including The Telluride Company and The Town of Telluride, may proceed at law or in equity to prevent the occurrence, continuation, breach, noncompliance, or violation of any term, provision or condition of these Protective Covenants and the court in any such action may award the successful party expenses and costs incurred in prosecuting such action, including reasonable attorneys' fees. The remedies hereby specified are cumulative, and the specification of them shall not be taken to preclude a party's resort to any other remedy at law, in equity, or under any statute.

28. PROTECTION OF ENCUMBERANCER

a. If a Mortgagee of Grantee shall have given to Grantor, before any violation of these Protective Covenants shall have occurred, a written notice, specifying the name and address of such Mortgagee, Grantor shall give to such Mortgagee written notice of Grantee's violation of this instrument addressed to such Mortgagee at the address last furnished to Grantor. In addition, no notice by Grantor to Grantee shall be deemed to have been given unless and until a copy thereof shall have been so given to such Mortgagee. Grantee irrevocably directs that Grantor accept, and Grantor agrees to accept, correction by any such Mortgagee of any breach, violation or non-compliance with these Covenants by Grantee, provided such performance by said Mortgagee shall occur within Thirty (30) days after mailing of notice of said violation by Grantor. With respect to any breach, violation or non-compliance which cannot be cured by said Mortgagee within said thirty (30) day period or until it obtains possession, said Mortgagee shall have a reasonable time to cure such violation, provided it diligently proceeds in good faith toward the curing of such violation or to enforce its remedies under its mortgage so as to obtain possession. Grantor hereby agrees that the curing or correction of Grantee's breach of these Covenants by the Mortgagee within such time shall be deemed the curing or remedying thereof by the Grantee.

b. In the absence of such notice to Grantee's Mortgagee, no violation, breach of or failure to comply with any provision of this instrument and no action to enforce any such provision shall affect, defeat, render invalid or impair the lien of any mortgage, deed of trust or other lien ("Encumbrance") on any property taken in good faith and for value and perfected by recording in the office of the County Clerk and Recorder, San Miguel County, Colorado, prior to

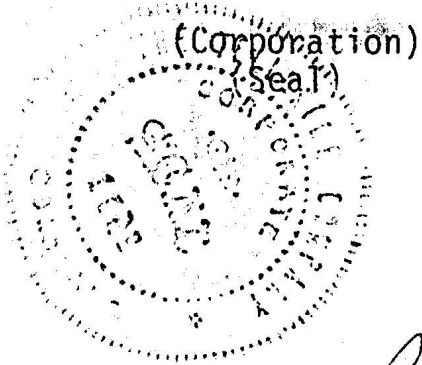
the time of recording in said office of an instrument describing such property and listing those persons holding interests in that property and giving notice of such violation, breach or failure to comply; nor shall such violation, breach, failure to comply or action to enforce, affect, defeat, render invalid or impair the title or interest of the holder of any such Encumbrance or any title or interest acquired by any purchaser upon foreclosure of any such Encumbrance or result in any liability, personal or otherwise, of any such holder or purchaser. Any such purchaser or foreclosure shall, however, take subject to this instrument except only that violations or breaches of, or failures to comply with, any provisions of this instrument which occurred prior to the vesting of such purchaser's interest shall not be deemed breaches or violations hereof or failures to comply herewith with respect to such purchaser, his heirs, personal representatives, successors or assigns.

29. In the event that any of the covenants contained herein violate any current Town of Telluride ordinances then such ordinance in each particular instance shall prevail over the Covenant set forth herein.

30. The Town of Telluride only may increase densities as set forth in paragraph 2 herein and on the face of the Plat, for the purpose of providing employee housing, if in the future the Town passes an ordinance requiring employee housing. Such employee housing if so required would be in excess of the densities set forth on the recorded Plat.

31. Wherever these covenants, conditions and restrictions require the approval of The Telluride Company for any act or thing to be done by any lot owner in the Backman Village Subdivision, Simonius, Vischer & Co. and its assigns and successors in interest to lands owned by Simonius, Vischer & Co. in the Backman Village Subdivision (including lots 34, 34B and 35) shall not be subject to the requirement of obtaining approval from The Telluride Company for such acts or things to be done.

IN WITNESS WHEREOF, THE TELLURIDE COMPANY HAS EXECUTED THIS DECLARATION
THIS 29th DAY OF JUNE, 1979.



THE TELLURIDE COMPANY

BY Ronald D. Allred
PRESIDENT

ATTEST: Roberta A. Peterson
Assistant SECRETARY

APPROVED AND ACCEPTED:

PLANNING AND ZONING COMMISSION
THE TOWN OF TELLURIDE, COLORADO

DATE: JUNE 29, 1979

BY Wayne Peterson
CHAIRMAN

STATE OF COLORADO)
COUNTY OF SAN MIGUEL) SS.

The foregoing instrument was acknowledged before me this 29th day
of June, 1979, by Ronald D. Allred as
President, and Roberta A. Peterson as
Assistant Secretary of The Telluride Company, a Colorado Corporation.

My commission expires: 1/12/8

Witness my hand and official seal.

[Signature]
NOTARY PUBLIC